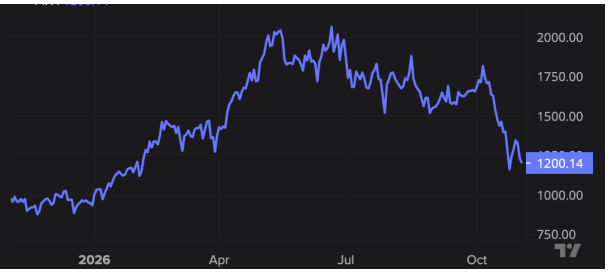
Comfort Systems USA, Inc. (NYSE: FIX)
Industrials / Mechanical & Electrical Contracting
11/3/2026

Bennett Lee
Blee27@gsb.columbia.edu
Price Target: $1,807.38

KEY INPUTS & MARKET DATA	
Current share price ($)	$1,225.00
Diluted shares outstanding (000s)	35,254
Market capitalization ($000)	43,186,150
Total debt ($000)	54,064
Cash & equivalents ($000)	2,158,027
Enterprise Value	41,082,187
52 Week Range	$770.47 - $2,073.99
YTD	37.37%
Volume	369,919
Beta	1.65
Short Interest (% of Float)	2.20%



Metrics	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	**5,206.8**	**7,027.5**	**9,101.6**	**13,667.9**	**16,896.9**	**19,118.4**	**20,481.7**	**22,034.2**
y/y growth %	*25.8%*	*35.0%*	*29.5%*	*50.2%*	*23.6%*	*13.1%*	*7.1%*	*7.6%*
Gross profit	**990.5**	**1,476.4**	**2,195.9**	**3,475.8**	**4,308.7**	**5,544.3**	**5,632.5**	**6,059.4**
y/y growth %	*33.6%*	*49.1%*	*48.7%*	*58.3%*	*24.0%*	*28.7%*	*1.6%*	*7.6%*
EBITDA	**500.0**	**894.9**	**1,456.5**	**2,472.9**	**3,098.4**	**4,207.9**	**4,229.8**	**4,566.4**
y/y growth %	*49.2%*	*79.0%*	*62.8%*	*69.8%*	*25.3%*	*35.8%*	*0.5%*	*8.0%*
EBIT	**418.4**	**749.4**	**1,314.6**	**2,290.4**	**2,855.6**	**3,919.3**	**3,912.0**	**4,230.6**
y/y growth %	*64.8%*	*79.1%*	*75.4%*	*74.2%*	*24.7%*	*37.2%*	*(0.2%)*	*8.1%*
Net income	**323.4**	**522.4**	**1,022.6**	**1,792.2**	**2,256.2**	**3,126.7**	**3,165.9**	**3,459.6**
y/y growth %	*31.5%*	*61.5%*	*95.7%*	*75.3%*	*25.9%*	*38.6%*	*1.3%*	*9.3%*
Diluted EPS ($)	**$9.01**	**$14.60**	**$28.88**	**$50.96**	**$64.56**	**$90.37**	**$92.93**	**$103.12**
y/y growth %	*32.0%*	*62.1%*	*97.7%*	*76.5%*	*26.7%*	*40.0%*	*2.8%*	*11.0%*
Free Cash Flow	**544.7**	**738.0**	**1,031.5**	**2,062.4**	**2,074.9**	**2,931.5**	**3,131.0**	**3,507.2**
y/y growth %	*115.2%*	*35.5%*	*39.8%*	*100.0%*	*0.6%*	*41.3%*	*6.8%*	*12.0%*
Capital expenditures	**94.8**	**111.1**	**154.9**	**669.1**	**675.9**	**573.6**	**512.0**	**440.7**
y/y growth %	*96.1%*	*17.1%*	*39.5%*	*332.0%*	*1.0%*	*(15.1%)*	*(10.7%)*	*(13.9%)*

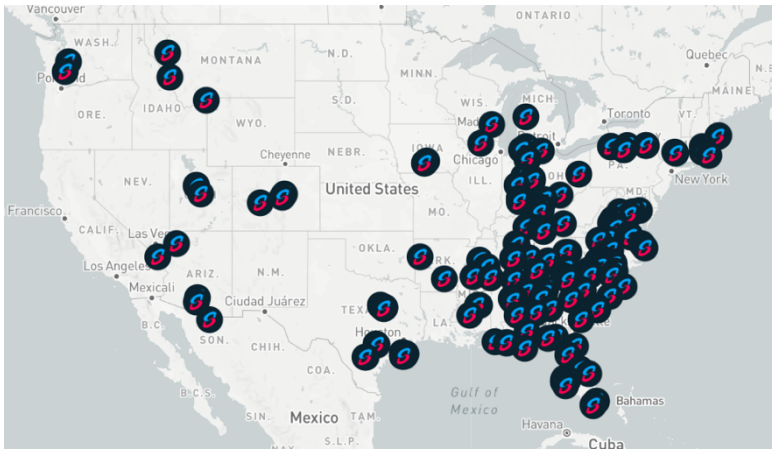
Executive Summary

I recommend buying Comfort Systems (FIX) with a **$1,807** price target, representing **~47.5%** upside over ~2 years. The market treats FIX as a data center trade, but I believe the AI build-out has permanently upgraded the business, and the quality of its positioning will unlock further upside. Specifically: *1) AI is pushing FIX into bigger, higher-margin projects, and those gains will outlast the cycle; 2) the skilled-labor shortage will take a generation to fix, and FIX keeps adding increasingly productive workers; and 3) few rivals pair modular factories with in-house field labor at scale, and peers are paying billions to catch up.*

Business Description

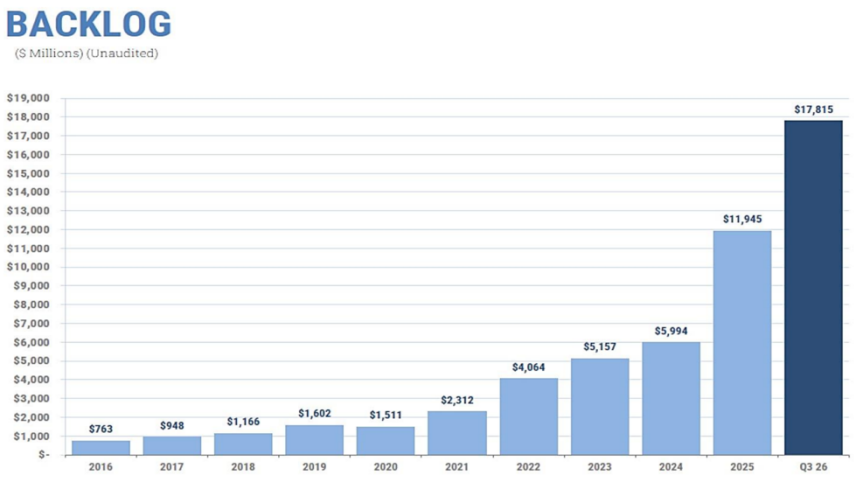
FIX was founded in 1997, when 12 separate companies formed to create the current entity. FIX is now one of the largest mechanical and electrical (MEP) contractors in the U.S., installing and servicing the HVAC, plumbing, piping, electrical power, and fire protection systems that make a building function. It operates through **~45 decentralized subsidiaries across 170 locations in 27 states**, each competing locally while the parent provides the scale and balance sheet to win large projects. FIX reports two segments, Mechanical and Electrical, and has historically grown through disciplined acquisitions.

Key end markets include technology (60.8% of revenue, mostly hyperscaler data centers and semiconductor fabs), manufacturing (16.8%), healthcare (6.3%), education (4.7%), and government (3.7%). The market is highly fragmented, with large diversified peers such as EMCOR, APi Group, Sterling, and Quanta competing for similar large, complex jobs.



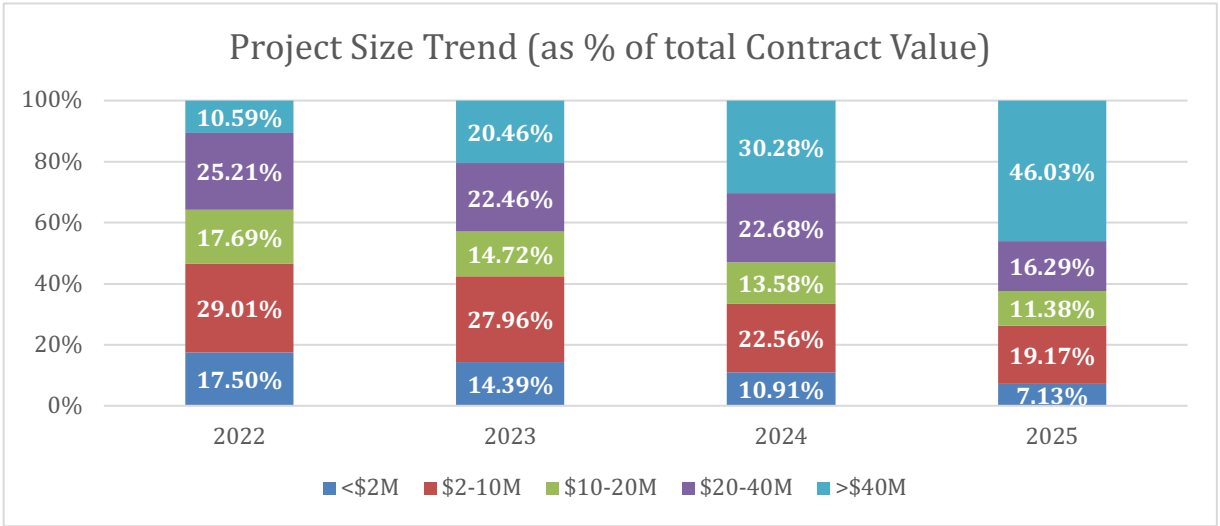
1. AI is pushing FIX into larger and higher-margin projects, and those gains will outlast the cycle

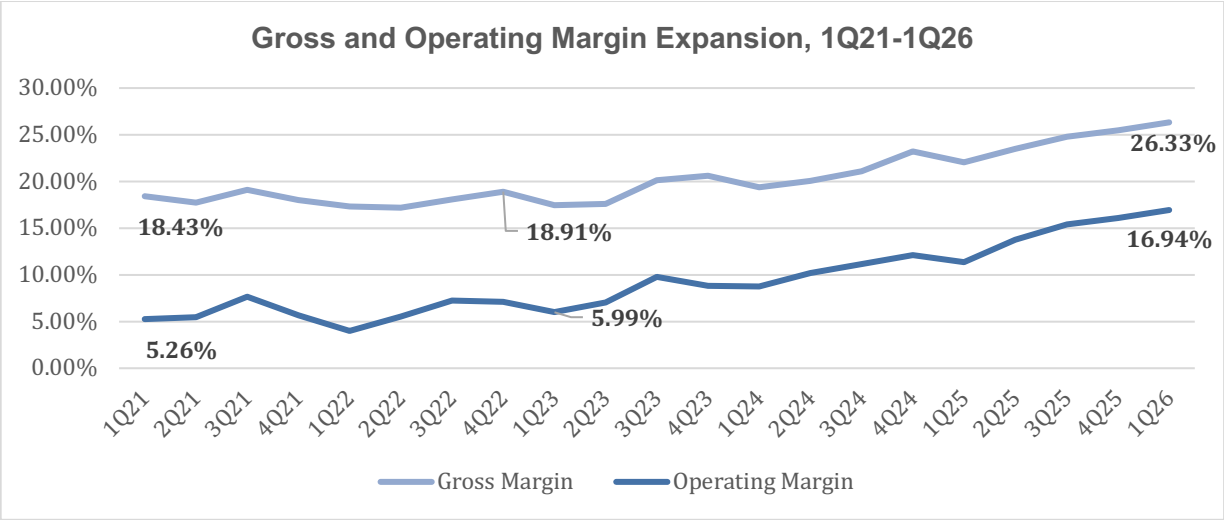
Data centers are among the most MEP-intensive projects built, with mechanical and electrical systems an estimated 60–70% of total build cost given the need for reliable power, thermal management, and redundancy. That pulls demand directly into FIX's core HVAC, electrical, piping, controls, and modular fabrication capabilities, and the scope keeps expanding toward advanced cooling, high-density data halls, and centralized energy systems, with backlog now surging to nearly $18bn.



These projects are mega-projects relative to FIX's historical book. Revenue mix has shifted meaningfully toward contracts above $20mm, particularly those above $40mm, and weighted average project size more than doubled from ~$0.80mm in 2021 to ~$1.81mm in 2024. The demand is also landing where FIX already operates. The buildout is concentrated in right-to-work Sunbelt and Mid-Atlantic markets such as Texas, Louisiana, and Northern Virginia. FIX's non-union model lets it scale crews faster, cross-staff trades, and run internal apprenticeships, which is critical on hyperscaler builds where the schedule, not the bid, is the binding constraint.

This shift toward larger, more complex work is also structurally higher value. Bigger contracts spread fixed overhead and project management costs across larger contract values and carry more engineering and integration scope, raising the value-added share of FIX's work. Gross margin has expanded from 18.4% to 26.3% and operating margin from 5.3% to 16.9%, with the acceleration beginning in 2023 alongside the AI boom. As hyperscaler capex continues, I expect the mix to keep migrating toward these higher-value projects.

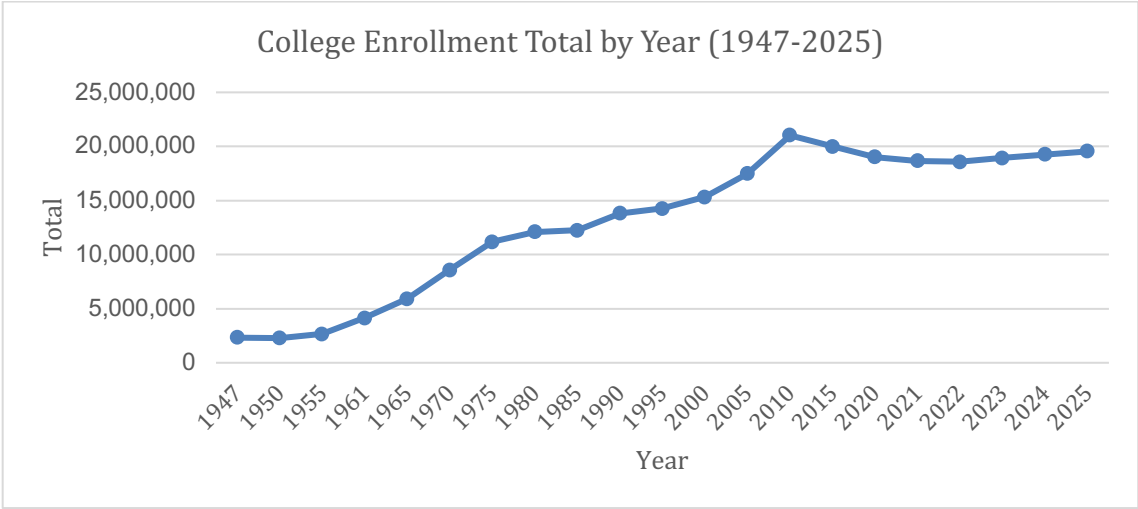




Importantly, if the AI cycle normalizes, the need for skilled MEP labor to install and maintain these systems does not. Recurring service, maintenance, and monitoring work (36.8% of revenue), a long tail of small projects (87% of project count under $2mm), and 45+ subsidiaries across end markets keep the customer base diversified. That breadth is already visible, as FIX's largest recent single booking was a GLP-1 pharma project, with another in the Houston pipeline. Having scaled its capabilities on the AI boom, FIX will exit the cycle better positioned to take share in a fragmented market across any industry with heavy MEP content.

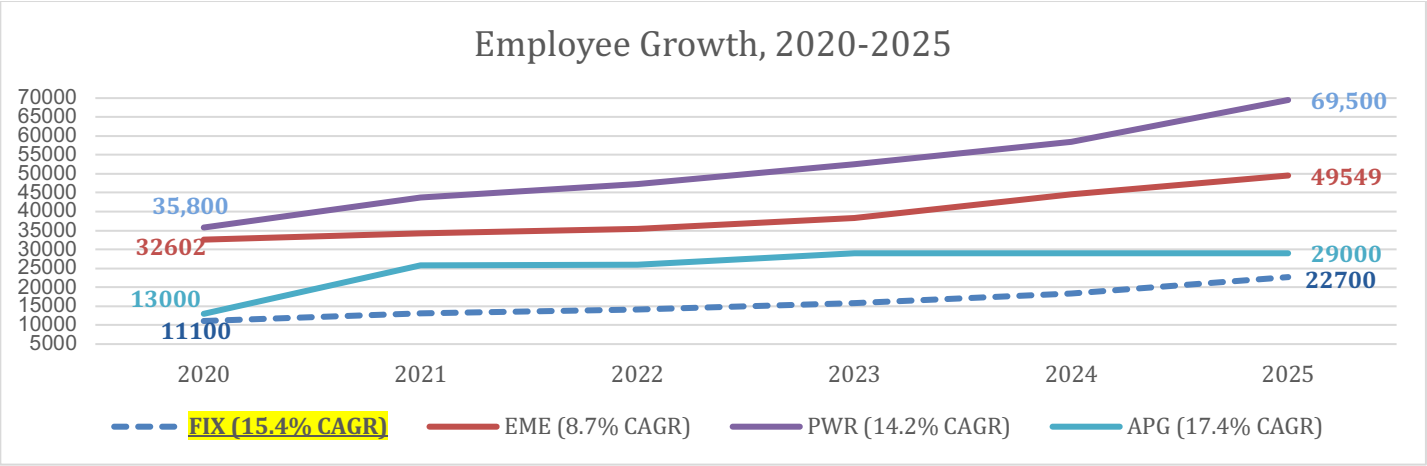
2. The skilled-labor shortage will take a generation to fix, and FIX keeps adding increasingly productive workers

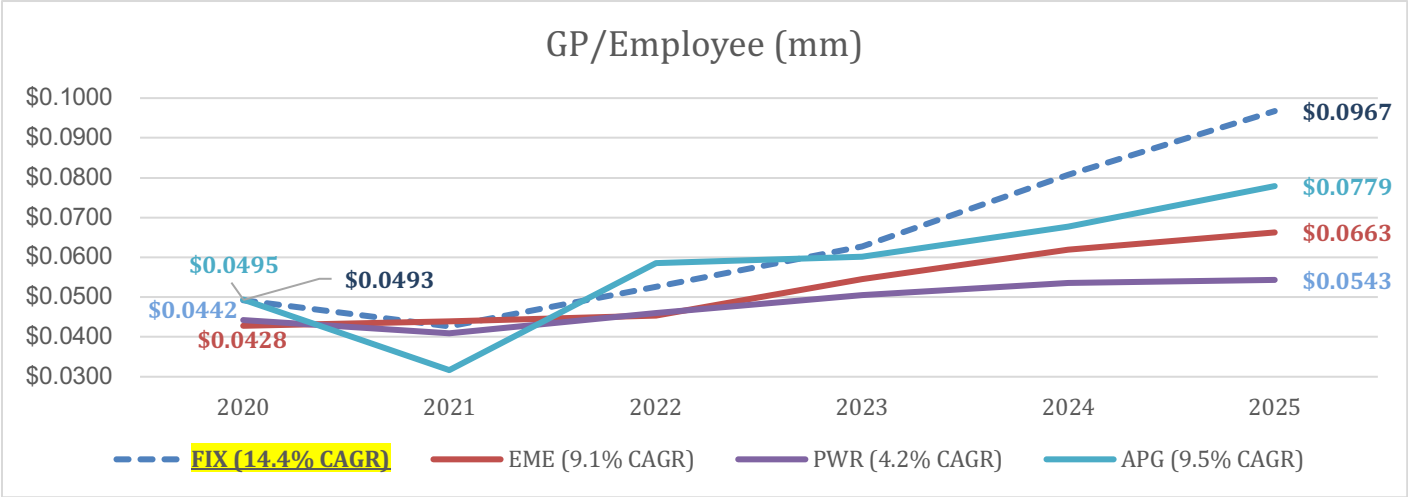
Decades of cultural redirection toward higher education have hollowed out the trades, with U.S. college enrollment up nearly 9x from 1947 to its 2010 peak. A 4–5 year journeyman pipeline means a workforce that took decades to dismantle will take decades to rebuild; as one MEP Project Manager put it, it will take "*probably another generation to get back to where we need to be on labor*." The BLS projects MEP trade employment to grow 4–9% through 2034, 2–3x faster than the overall workforce, and supply can't keep up.



This scarcity is what powers FIX's flywheel. Only a handful of contractors can staff the biggest, most technical jobs; FIX wins that work, and the resulting marquee projects and steady employment draw in the scarce labor needed to staff the next ones. The constraint that hurts everyone else widens FIX's moat.

Headcount has grown from ~11,000 in 2020 to ~22,700 in 2025, and this is not brute-force hiring: revenue grew at 2.4x the pace of headcount and gross profit at 3.4x. Revenue per employee rose 53% to $0.40mm and gross profit per employee nearly doubled to $0.097mm, so each new hire generates more than the last. Versus peers, FIX is hiring as fast or faster while growing per-employee economics more quickly.





FIX's scale funds apprenticeships and training, effectively vertically integrating into its own labor supply, and its instructors teach at local trade schools, giving it first look at top talent. Its record on safety and consistent pay, rare in this industry, has built a deep bench and made FIX a preferred pre-qualified bidder. As the mix shifts toward data centers, fabs, and modular, gross profit per employee should keep rising even without further productivity gains.

Metric	2023		2024		2025	
	Comfort Systems USA	BLS Construction Industry Average[2]	Comfort Systems USA	BLS Construction Industry Average[2]	Comfort Systems USA	BLS Construction Industry Average[2]
Lost workday case incidence rate	0.24	1.0	0.18	1.0	0.17	1.0
Days away, restricted or transferred	0.52	1.5	0.40	1.5	0.44	1.5
OSHA recordable incident rate	1.10	2.4	0.97	2.3	0.93	2.3

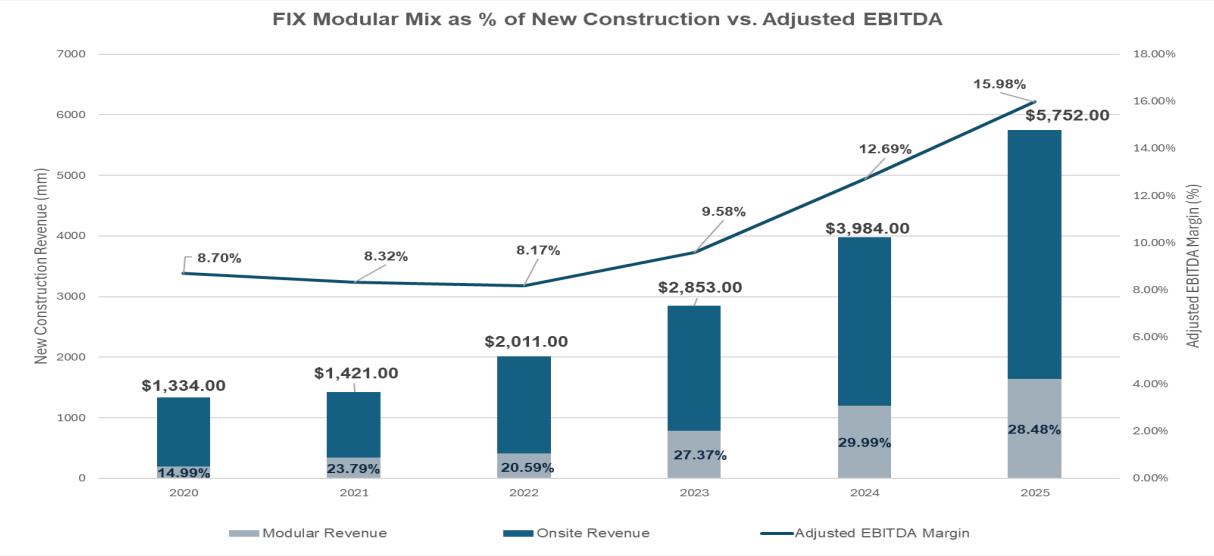
3. Few rivals pair modular factories with in-house field labor at scale, and peers are paying billions to catch up

FIX has a decade-long head start in modular: it entered in 2011 with Environmental Air Systems (EAS) and scaled in 2020 with TAS Energy, adding the central utility plants, cooling modules, and data halls data centers need today. Modular compresses project schedules by 40%+, shifts labor from constrained jobsites to controlled factories, improves safety and quality through repeatable assembly, and lets hyperscalers deploy standardized designs across campuses. Modular has historically carried lower gross margins (~11–15% vs. an 18–25% company average) given higher pass-through component costs and a heavier new-construction mix, but the model is inflecting: fixed SG&A creates operating leverage as volume scales, and investments in robotic welding and AI-enabled workflows are cutting certain task times 70–80%, structurally lifting throughput per square foot.

What makes the platform hard to match is the intersection it sits at. Large-scale data center modular MEP requires both factory manufacturing capacity and in-house craft labor to install, tie in, and commission modules on-site, and most competitors have only one. Prefab OEMs build around their own equipment and rely on third-party installers, while other MEP peers have field labor

but no modular platform at scale. FIX combines equipment-agnostic prefab with in-house installation, making it the single point of accountability for hyperscalers that want their preferred OEM mix integrated into one turnkey solution.

Modular is best suited to projects above $100mm, precisely where hyperscaler spend is concentrating. Peers are now paying to catch up, which validates the strategy: Sterling acquired CEC and is tripling modular space to 300,000 sq ft against FIX's 3mm, while Quanta paid roughly $3.7bn for Cupertino Electric and Dynamic Systems in 2024–2025 to build the same capability FIX has compounded organically for over a decade. As capacity reaches 4mm sq ft by year-end 2026 and 6mm by 2027 and automation deepens, FIX should widen the gap and lock in its position as the default modular MEP partner — a combination competitors can buy pieces of but cannot replicate overnight.



Valuation

I model revenue and earnings above consensus given the pace of modular expansion, FIX's labor flywheel, and its shift into higher-value, higher-margin projects across multiple industries. Applying a **20.0x P/E** multiple to FY2028 estimates, I arrive at a ~2-year price target of **$1,807.38,** representing a **47.5%** upside to the current price and a **19.75% IRR.**

The bull case sees sustained hyperscaler demand and further modular-led margin expansion, implying $2,713.08 on a 25.0x P/E multiple**,** a **121.5% upside** and **44.5% IRR.**

The bear case sees an AI pullback killing FIX's largest projects and subsequent margin compression, with a multiple re-rate to **12.0x,** implying a **(41.7%)** downside and **(22.1%)** IRR.

PRICE / EARNINGS — BEAR / BASE / BULL (FY2028E)			
($000 unless noted)	**Bear**	**Base**	**Bull**
Revenue ($000)	14,338,816	19,118,422	21,030,264
% vs. base model	*(25.0%)*	-	*+10.0%*
Net margin (%)	14.4%	16.4%	17.9%
Change vs. base (pts)	*(2.0%)*	-	*+1.5%*
Net income ($000)	2,058,214	3,126,654	3,754,773
Diluted shares (000s)	34,599	34,599	34,599
Diluted EPS ($)	**$59.49**	**$90.37**	**$108.52**
P/E multiple (x)	12.0x	20.0x	25.0x
PRICE TARGET — P/E ($)	**$713.86**	**$1,807.38**	**$2,713.08**
Upside / (downside) vs. current	**(41.7%)**	**47.5%**	**121.5%**
Implied IRR (annualized, price only)	**(22.1%)**	**19.7%**	**44.5%**

Risks

Poor customer or project selection: With demand outpacing supply, FIX is exposed to taking on large, complex projects that look lucrative but prove unattractive; passing over a quality project for the wrong one carries real opportunity cost to the top and bottom line.

Growth is tied to data center and AI demand: Recent growth has been driven largely by AI-adjacent tailwinds. A slowdown or normalization in data center construction would flow through to FIX's volume, mix, and profitability.

Competition in a fragmented market: Fragmentation is a double-edged sword, as price is often the deciding factor in competitive bidding, and smaller local competitors can win on price given lower cost and return requirements. Some customers also self-perform service work.

Management Team

Brian E. Lane, CEO — in the role since 2011 and President from December 2011 to December 2025; joined FIX in 2003 after 15 years at Halliburton.

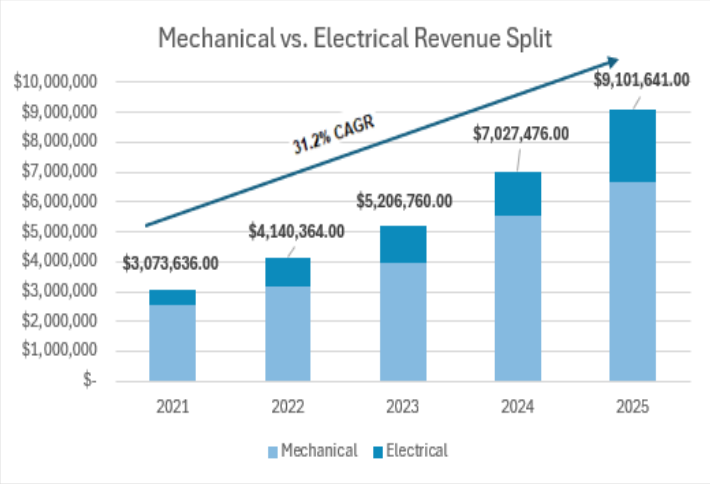
Julie Shaeff, CFO — formerly Chief Accounting Officer, replacing founding CFO Bill George following his announced retirement.

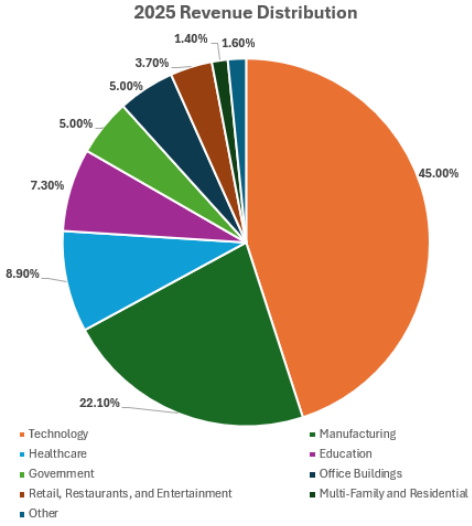
Craig Sasser, COO — COO effective July 2026; previously Regional VP at FIX from 2018 to 2026, after 34 years at a major MEP company.

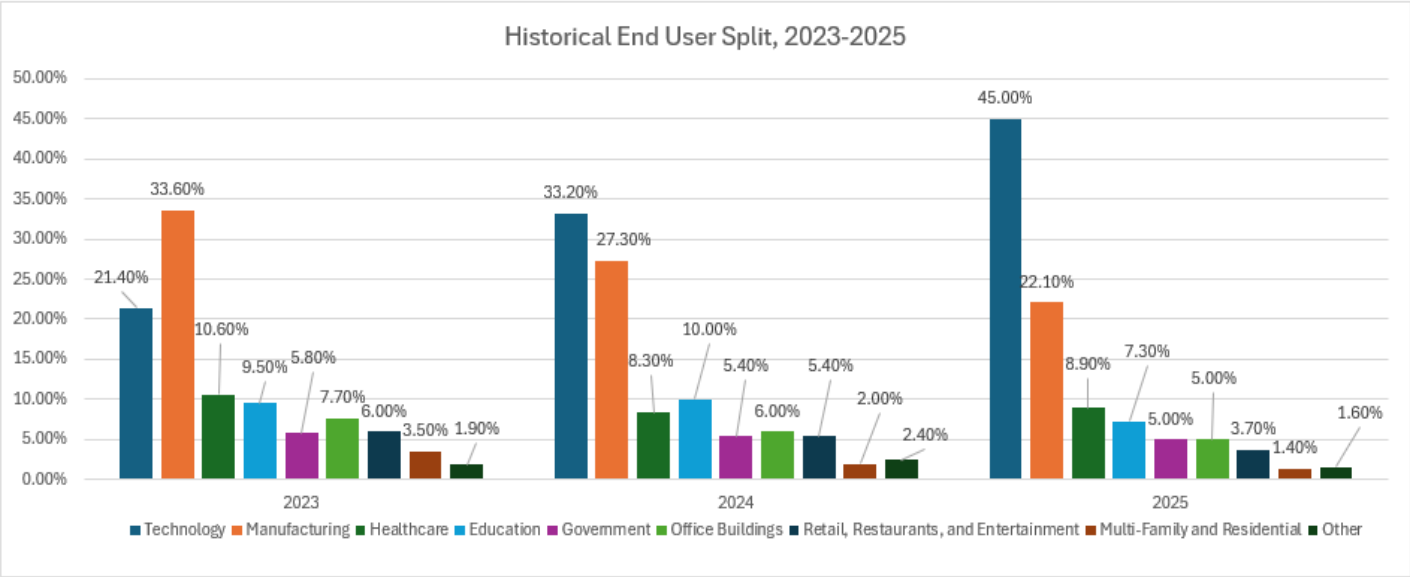
Peer Analysis

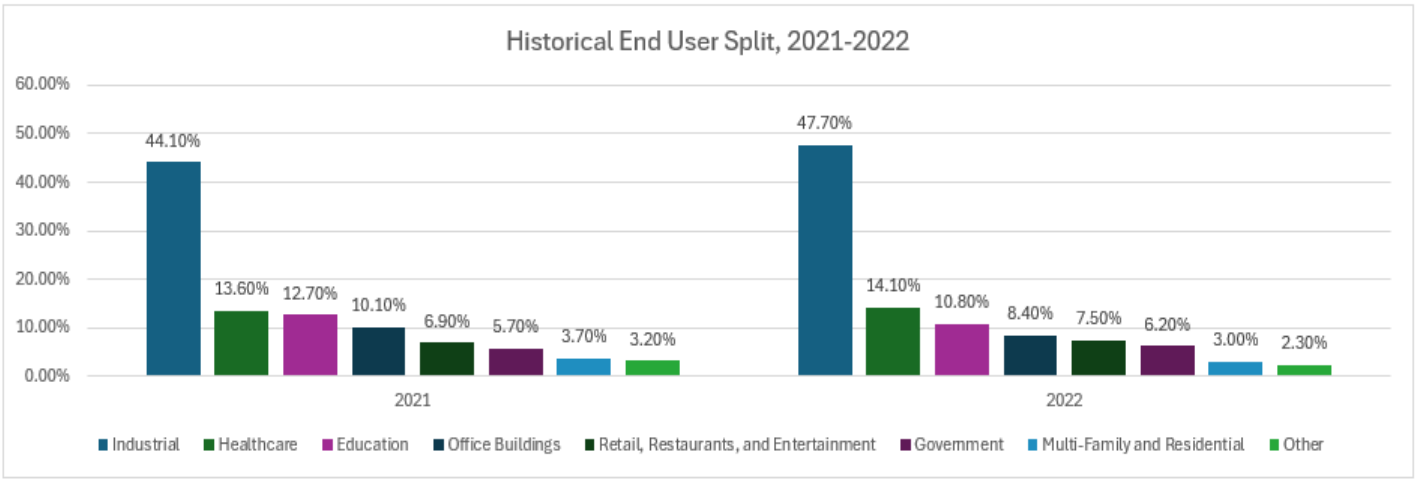
Company Name	EV / Revenue (FY26)	EV / EBITDA (FY26)	P/E (FY26)	EV / Revenue (FY27)	EV / EBITDA (FY27)	P/E (FY27)	P/FCF (LTM)
EMCOR Group	1.6x	13.1x	20.0x	1.4x	11.2x	16.9x	23.2x
APi Group	2.2x	18.3x	25.6x	2.0x	15.9x	22.1x	24.0x
Sterling Infrastructure	3.7x	10.5x	17.4x	3.1x	8.2x	13.0x	26.1x
Quanta Services Inc.	2.5x	22.6x	34.7x	2.2x	19.2x	29.3x	42.1x
Peer Mean	2.5x	16.1x	24.4x	2.2x	13.6x	20.3x	28.9x
Peer Median	2.4x	15.7x	22.8x	2.1x	13.5x	19.5x	25.1x
Comfort Systems (FIX)	4.4x	16.2x	23.6x	3.7x	12.7x	18.1x	32.0x

Revenue Split



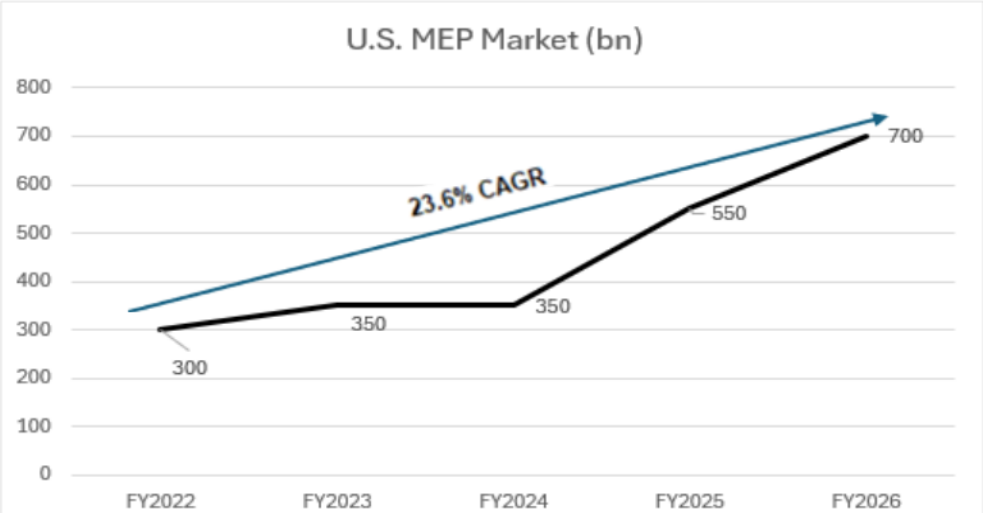






Beginning in FY2023, FIX reclassified the former "Industrial" category into "Technology" and "Manufacturing" to reflect the rapid growth of data center and semiconductor work, which had become a materially distinct growth driver from traditional industrial/manufacturing activity

Total Addressable Market



Mechanical

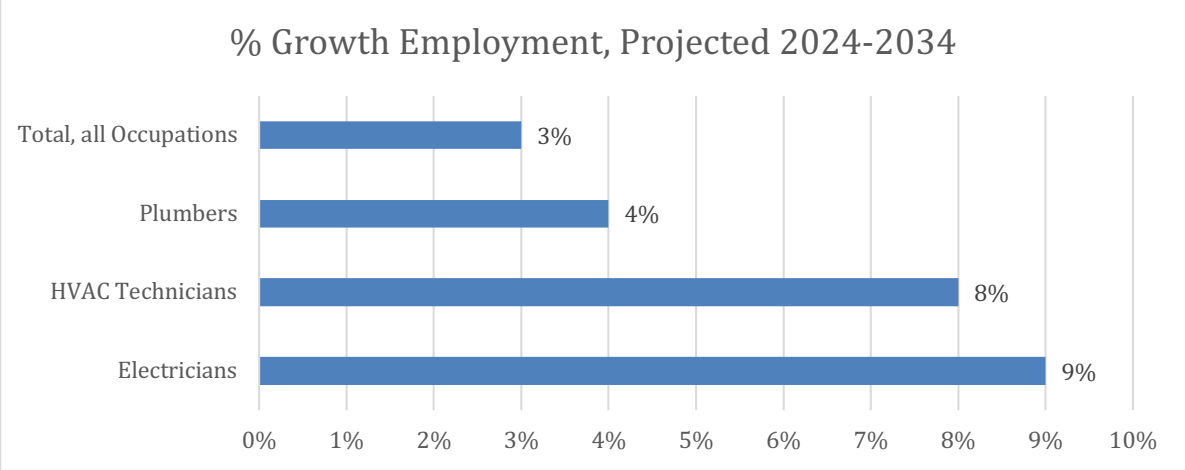
Rank	Company	% Top 50 Rev.
1	EMCOR Group, Inc. (EME)	19%
2	**Comfort Systems USA, Inc. (FIX)**	**13%**
3	Southland Industries	7%
4	Acco Engineered Systems	6%
5	Apollo Sheet Metal, Inc.	3%
6	Legence (LGN)	3%
7	Harris	3%
8	Equans	2%
9	Cerris Systems	2%
10	BMWC Constructors, Inc.	2%
11	McKenney's, Inc.	2%
12	Harder Mechanical	2%
13	TDIndustries	2%
14	Helm Group	2%
15	Murphy Co.	2%
16	Macdonald-Miller Facility Solutions	2%
17	U.S. Engineering Holdings	1%
18	Hermanson Co.	1%
19	McKinstry	1%
20	Limbach Facility Services (LMB)	1%
21	HB Mechanical Group	1%
22	John E. Green Co.	1%
23	Rogers Building Solutions	1%
24	JH Kelly LLC	1%
25	Pan-Pacific Mechanical LLC	1%
	26-50	18%
Total		**100%**

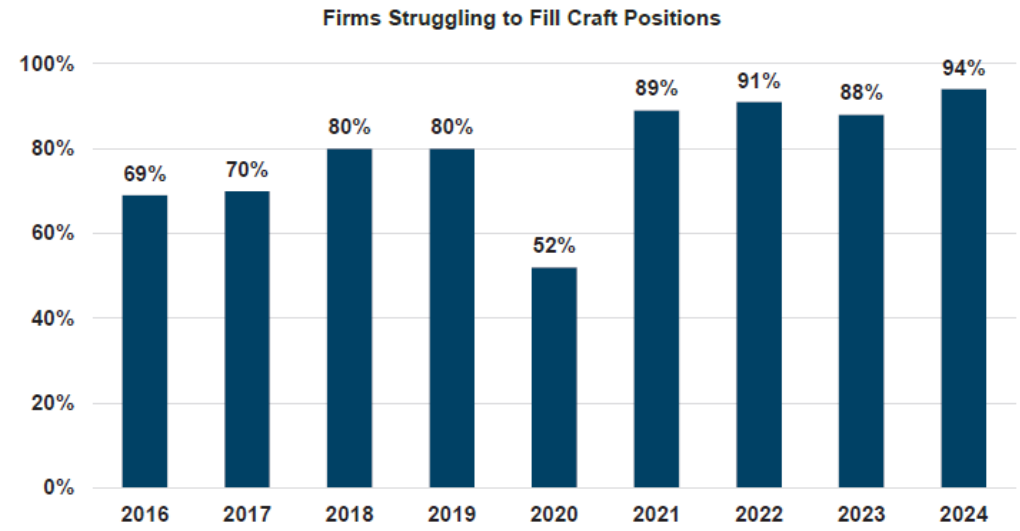
Electrical

Rank	Company	% Top 50 Rev.
1	Quanta Services (PWR)	13%
2	EMCOR Group, Inc. (EME)	8%
3	Rosendin Electric	7%
4	MYR Group, Inc. (MYRG)	6%
5	MMR Group	4%
6	IES Holdings, Inc. (IESC)	4%
7	M.C. Dean	4%
8	Everus Construction Group (ECG)	3%
9	Archkey Solutions	3%
10	Faith Technologies, Inc.	3%
11	The E-J Group	2%
12	Power Design	2%
13	**Comfort Systems USA, Inc. (FIX)**	**2%**
14	The State Group	2%
15	Motor City Electric Co.	2%
16	Cache Valley Electric Co.	2%
17	Power Solutions LLC (acq. by DY / 2025)	2%
18	Aldrige Electric Inc.	2%
19	Helix Electric	2%
20	The Newtron Group	2%
21	Equans	2%
22	Hunt Electric Corp.	2%
23	Bergelectric Corp.	1%
24	Gaylor Electric	1%
25	Hatzel & Buehler, Inc.	1%
	26-50	17%
Total		**100%**

Per Engineering News Record and Oppenheimer Estimates

BLS Employment Projections and Surveys





Source: The Associated General Contractors (AGC) of America, Inc.